



United States
Attorney's Office
Eastern District of Virginia



U.S. Attorney Erik S. Siebert announces charges as part of DOJ's national health care fraud enforcement action

Monday, June 30, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Virginia

ALEXANDRIA, Va. – Today, Erik S. Siebert, U.S. Attorney for the Eastern District of Virginia, announced criminal charges against six defendants. The charges filed in federal court are part of the Department of Justice's [2025 National Health Care Fraud Takedown](#).

"This record-setting Health Care Fraud Takedown delivers justice to criminal actors who prey upon our most vulnerable citizens and steal from hardworking American taxpayers," said Attorney General Pamela Bondi. "Make no mistake – this administration will not tolerate criminals who line their pockets with taxpayer dollars while endangering the health and safety of our communities."

"This action underscores our efforts to holding accountable those who abuse our health care systems for personal profit," said U.S. Attorney Siebert. "Health care fraud not only wastes valuable resources but also jeopardizes patient safety and trust. Under the leadership of Attorney General Bondi, my office, along with our stalwart law enforcement partners, will not stop until fraud, waste, and abuse are eliminated across the health care sector."

"The Criminal Division is intensely committed to rooting out health care fraud schemes and prosecuting the criminals who perpetrate them because these schemes: (1) often result in physical patient harm through medically unnecessary treatments or failure to provide the correct treatments; (2) contribute to our nationwide opioid epidemic and exacerbate controlled substance addiction; and (3) do all of that while stealing money hardworking Americans contribute to pay for the care of their elders and other vulnerable citizens," said Matthew R. Galeotti, Head of the Justice Department's Criminal Division. "The Division's Health Care Fraud Unit and U.S. Attorneys' Offices stand united with our law enforcement partners in this fight, and we will continue to use every tool at our disposal to protect the integrity of our health care programs for the American people."

"Health care fraud drains critical resources from programs intended to help people who truly need medical care," said Director Kash Patel of the FBI. "Today's announcement demonstrates our commitment to pursuing those who exploit the system for personal gain. With more than \$13 billion in fraud uncovered, this is the largest takedown for this initiative to date. Together, the FBI and our law enforcement partners will continue to hold those accountable who steal from the American people and undermine our health care systems."

The charges announced today by U.S. Attorney Siebert are part of a strategically coordinated, nationwide law enforcement action that resulted in criminal charges against 324 defendants for their alleged participation in health care fraud and illegal drug diversion schemes that involved the submission of over \$14.6 billion in intended losses and over 15 million pills of illegally diverted controlled substances. The defendants allegedly defrauded programs entrusted for the care of the elderly and disabled to line their own pockets, and the Government, in connection with the Takedown, seized over \$245 million in cash, luxury vehicles, and other assets.

The following individuals were charged in the Eastern District of Virginia:

Jawad Bhatti, 54, of Richmond, was charged by indictment with health care fraud, false statements related to health care matters, receiving adulterated and misbranded devices, and administering a misbranded drug in connection with schemes to defraud Medicare and Medicaid. As alleged in the Indictment, in his first scheme, Bhatti received in interstate commerce three FDA-unapproved devices that produced medical ozone gas, which the FDA has described as "a toxic gas that with no known useful medical application in specific, adjunctive, or preventive therapy." Bhatti then allegedly advertised these devices on his website and used them in his pain management practice. Bhatti allegedly advertised to patients the benefits of ozone, to include that it treats cancer, AIDS, arthritis, and lower back pain, and improves weight management, sexual stamina, energy, and mental acuity. When Bhatti allegedly injected ozone into patients' necks, backs, toes, and scalps, many reported it to be the worst pain they had ever experienced. To disguise his unapproved ozone treatments from the FDA, Medicare, and Medicaid, he allegedly falsely billed ozone and other treatments as nerve blocks. In his second scheme, Bhatti allegedly falsely billed Medicare and Medicaid for using ultrasound to guide the insertion of a needle for his injections when in fact he either did not use an ultrasound at all or he only used the ultrasound after the injection was complete. Bhatti allegedly was by far the most prolific pain management biller of this procedure in Virginia. In total, Bhatti allegedly submitted and caused the submission of over \$5,202,374.96 in false and fraudulent claims to Medicare and Medicaid. The case is being prosecuted by Assistant U.S. Attorney Shea Gibbons of the U.S. Attorney's Office for the Eastern District of Virginia.

Keri Ayres, 50, of Warrenton, was charged by information with conspiracy to commit health care fraud in connection with a scheme to overcharge Medicaid for environmental modifications to homes or vehicles such as installing wheelchair ramps, or grab bars in showers, which scheme cost Medicaid approximately \$245,000. As alleged in the information, Ayres was the owner of Ability Unlimited, a Medicaid provider whose business centered on facilitating but not performing environmental modifications, and Medicaid did not allow facilitators that performed no actual labor to charge a separate profit margin. Unsatisfied, Ayres allegedly directed her employees to hide their arbitrary and

often exorbitant profit margins in the subcontractor costs. For example, Ability Unlimited purchased a generator from Amazon.com for less than \$1000 and had it shipped directly to the Medicaid recipient, but charged Medicaid \$3,395.16, listing the generator cost in an altered invoice as \$2,610.16, and including an additional labor cost of \$785 despite the direct shipment of the generator. The case is being prosecuted by Assistant U.S. Attorney Shea Gibbons of the U.S. Attorney's Office for the Eastern District of Virginia.

Lori Adcock, 54, of Hampstead, North Carolina, was charged by complaint with conspiracy to commit health care fraud in connection with a scheme to overcharge Medicaid for environmental modifications to homes or vehicles such as installing wheelchair ramps or grab bars in showers, which scheme cost Medicaid approximately \$213,210.69 attributable to Adcock. As alleged in the complaint, Adcock was the operations manager of Ability Unlimited, a Medicaid provider whose business centered on facilitating but not performing environmental modifications, and Medicaid did not allow facilitators that performed no actual labor to charge a separate profit margin. Adcock was the manager of the fraudulent scheme to hide Ability Unlimited's arbitrary and often exorbitant profit margins in the subcontractor costs. For example, Ability Unlimited purchased a generator from Amazon.com for less than \$1000 and had it shipped directly to the Medicaid recipient, but charged Medicaid \$3,395.16, listing the generator cost in an altered invoice as \$2,610.16, and including an additional labor cost of \$785 despite the direct shipment of the generator. The case is being prosecuted by Assistant U.S. Attorney Shea Gibbons of the U.S. Attorney's Office for the Eastern District of Virginia.

Kevin White, 56, of Richmond, was charged by information with health care fraud in connection with a scheme to bill Medicaid for residential group home services when the Medicaid recipients were hospitalized, incarcerated, or otherwise outside the group home. As alleged in the information, White was the owner of Ithiel Group, a Medicaid residential group home provider. White allegedly billed Medicaid for often-months-long periods when Medicaid group home residents were outside Ithiel's group homes when they were hospitalized, incarcerated, or visiting their families. White and his managers allegedly often sent employees home because they lacked residents for which to care, but White billed Medicaid as if the residents were present. White allegedly received funds from a separate Virginia agency to hold bed space for absent residents while at the same time charging Medicaid as if he were providing services to these same absent residents. As a result of the scheme, Medicaid was billed over \$1,000,000, and paid \$461,704.23, in false and fraudulent claims. The case is being prosecuted by Assistant U.S. Attorney Shea Gibbons of the U.S. Attorney's Office for the Eastern District of Virginia.

Yvonne Kara Petrie, 54, of Leesburg, was charged by Information with health care fraud in connection with a scheme to bill CareFirst BlueCross BlueShield (CareFirst) for medical services and products that were not provided to patients, not prescribed by a physician, and not medically necessary. As alleged in the information, Petrie was the president and chief operating officer of Virginia Integrative Health, a medical clinic that provided hyperbaric oxygen therapy ("HBOT") to patients. Petrie allegedly recruited her family members and friends to participate in her fraud as patients and she submitted fraudulent claims based on profit rather than the services that were actually prescribed. Petrie allegedly hired physicians at her clinic, but then used at least four physician's National Provider Identifiers ("NPIs") without their knowledge or permission to submit fraudulent claims to CareFirst. For example, Petrie

allegedly used one physician's NPI to submit fraudulent HBOT claims for that physician, as if the physician prescribed HBOT treatment for himself, but the treatment was never provided nor prescribed. As a result of the fraud scheme, Petrie allegedly caused at least \$1,900,000 in actual loss to CareFirst. The case is being prosecuted by Assistant U.S. Attorney Zachary H. Ray of the U.S. Attorney's Office for the Eastern District of Virginia.

Cristina Schasse, 40, of Glen Allen, was charged by Criminal Information with three charges of Criminal Tampering. As alleged in the Criminal Information, Schasse, while working as a Certified Registered Nurse Anesthetist at Chippenham and Johnston-Willis Medical Center, on three separate dates tampered with a Pyxis machine that contained fentanyl and Versed, by drawing syringes of fentanyl and Versed, placing them into her pockets, and then preparing syringes of Precedex (a non-scheduled sedative), mixed with saline, and then marked the syringes with preprinted labels misidentifying them as containing either fentanyl or Versed. Schasse then allegedly stored these mislabeled syringes in the Pyxis machine, knowing that the substituted drugs would be administered to patients. After the patient was sedated with Propofol, Schasse then allegedly administered the replacement substances she had placed inside the mislabeled syringes, to multiple patients during medical procedures. The case is being prosecuted by Assistant United States Attorneys Angela Mastandrea and Patrick J. McGorman of the U.S. Attorney's Office for the Eastern District of Virginia.

"The scale of today's Takedown is unprecedented, and so is the harm we're confronting. Individuals who attempt to steal from the federal health care system and put vulnerable patients at risk will be held accountable," said HHS-OIG Acting Inspector General Juliet T. Hodgkins. "Our agents at HHS-OIG work relentlessly to detect, investigate, and dismantle these fraud schemes. We are proud to stand with our law enforcement partners in protecting taxpayer dollars and safeguarding patient care."

"Defrauding the American health care system is not a victimless crime," said Assistant Director in Charge Steven Jensen of the FBI Washington Field Office. "It raises health insurance premiums, exposes patients to unnecessary medical procedures, and can lead to identity theft. Every dollar stolen is one fewer that's available to pay for needed care. The FBI will continue our relentless pursuit of those committing health care fraud and hold them accountable for their crimes."

"Health care professionals who tamper with patients' medications not only endanger those patients, but also undermine the trust Americans place in their medical providers," said Acting Special Agent in Charge Ronald Dawkins, FDA Office of Criminal Investigations Metro Washington Field Office. "We will continue to investigate and bring to justice health care professionals who tamper with patients' medications."

"We are sending a strong message: if you abuse your position to harm patients or engage in criminal activities, you will lose the privilege of handling, distributing, and prescribing controlled substances in our country," emphasized Ibrar A. Mian, Special Agent in Charge for DEA Washington Division. "The DEA targets individuals involved in fraud and criminal enterprises, regardless of whether they are disguised in white coats or blue scrubs. We are committed to pursuing anyone who exploits financial, pharmaceutical, and criminal systems."

The Health Care Fraud Unit’s National Rapid Response, Florida, Gulf Coast, Los Angeles, Midwest, New England, Northeast, and Texas Strike Forces; U.S. Attorneys’ Offices for the District of Arizona, Central District of California, Northern District of California, Southern District of California, District of Columbia, District of Connecticut, District of Delaware, Middle, District of Florida, Northern District of Florida, Southern District of Florida, Middle, District of Georgia, District of Idaho, Northern District of Illinois, Eastern District of Kentucky, Western District of Kentucky, Eastern District of Louisiana, Middle District of Louisiana, District of Maine, District of Massachusetts, Eastern District of Michigan, Northern District of Mississippi, Southern District of Mississippi, District of Montana, District of Nevada, District of New Hampshire, District of New Jersey, Eastern District of New York, Northern District of New York, Southern District of New York, Western District of New York, Eastern District of North Carolina, Western District of North Carolina, District of North Dakota, Northern District of Ohio, Southern District of Ohio, Northern District of Oklahoma, Western District of Oklahoma, District of Oregon, Eastern District of Pennsylvania, District of South Carolina, Middle District of Tennessee, Western District of Tennessee, Northern District of Texas, Southern District of Texas, Western District of Texas, District of Vermont, Eastern District of Virginia, Western District of Washington, and Northern District of West Virginia; and State Attorney Generals’ Offices for Arizona, California, Georgia, Illinois, Indiana, Louisiana, Massachusetts, Missouri, New York, Ohio, and Pennsylvania are prosecuting the cases in the National Health Care Fraud Takedown, with assistance from the Health Care Fraud Unit’s Data Analytics Team.

A complaint, information, or indictment is merely an allegation. All defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

A copy of this press release is located on the website of the [U.S. Attorney’s Office](#) for the Eastern District of Virginia. Related court documents and information are located on the website of the [District Court](#) for the Eastern District of Virginia or on [PACER](#).

Contact

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Topic

HEALTHCARE FRAUD

Components

[Drug Enforcement Administration \(DEA\)](#) | [Federal Bureau of Investigation \(FBI\)](#) | [USAO - Virginia, Eastern](#)

Related Content

PRESS RELEASE

U.S. Attorney's Office announces charges against three defendants in the Eastern District of Virginia as part of national health care fraud takedown

The U.S. Attorney's Office for the Eastern District of Virginia announced charges against three defendants as part of the Department of Justice's 2026 National Health Care Fraud Takedown.

June 23, 2026

PRESS RELEASE

Victim Advisory- Divine Youth Case Updates

In January and February 2026, charges were filed against four defendants who allegedly operated a scheme to defraud Medicaid through a mental health agency known as Divine Youth Counseling, LLC.

March 11, 2026

PRESS RELEASE

Federal jury convicts North Chesterfield man for billing Medicaid for services he did not provide

A federal jury convicted George Nathaniel Boykins, 43, of North Chesterfield, today on charges of health care fraud and aggravated identity theft.

December 15, 2025



Eastern District of Virginia

Justin W. Williams United States Attorney's

